Circular Ref: SEBI/HO/IMD/DF2/CIR/P/2018/160 Date: December 28, 2018

Creation of Segregated Portfolio in Mutual Fund Schemes (Side-Pocketing)

1. Creation of segregated portfolio (side pocketing) may be permitted in mutual fund schemes subject to conditions stated herein.

2. Circumstances for Segregation:
A segregated portfolio may be created in a mutual fund scheme by an Asset Management Company (AMC) in the event of a credit event at issuer level:
(a) Downgrade of a debt or money market instrument to below investment grade (BBB- or lower by SEBI registered Credit Rating Agency).
(b) Subsequent downgrades from rated instruments to default status.

3. Mandatory Approval and Process:
Upon occurrence of credit event, AMC shall seek approval of the Board of Trustees within 2 working days. On approval, the distressed debt instrument shall be segregated into a separate portfolio, and units in the segregated portfolio shall be allotted to existing unitholders pro-rata.

4. Valuation: The segregated portfolio debt securities shall be valued based on AMFI-appointed valuation agencies (CRISIL and ICRA) haircut matrices, and no management fee shall be charged by the AMC on the segregated portfolio.

5. Total Expense Ratio (TER) of Segregated Portfolio:
AMCs shall not charge any management fees on the segregated portfolio. However, legal and recovery expenses incurred in pursuing resolution of the default security may be charged to the segregated portfolio subject to a cap of 0.10% per annum of the recovery value.

6. Listing and Liquidity:
To provide liquidity to unitholders holding units in the segregated portfolio, the AMC shall list the units of the segregated portfolio on a recognized stock exchange within 10 working days of its creation.

7. Disclosure to Regulators:
Details of the segregated portfolio shall be reported to SEBI immediately and published in the monthly portfolio disclosure on the AMC website.